

significant way that renders the vision obsolete. Such occasions can be referred to as **strategic inflection points**. When a company reaches a strategic inflection point, management has tough decisions to make about the company's direction because abandoning an established course carries considerable risk. However, responding to unfolding changes in the marketplace in a timely fashion lessens a company's chances of becoming trapped in a stagnant or declining business or letting attractive new growth opportunities slip away.

The first three stages of the strategic management process make up a strategic plan. A **strategic plan** maps out where a company is headed, establishes strategic and financial targets, and outlines the competitive moves and approaches to be used in achieving the desired business results.¹

Stage 1: Developing a Strategic Vision, a Mission, and Core Values

LO2-1

Understand why it is critical for company managers to have a clear strategic vision of where a company needs to head and why.

At the outset of the strategy formulation, strategy execution process, a company's senior managers must wrestle with the issue of what directional path the company should take and whether its market positioning and future performance prospects could be improved by changing the company's product offerings and/or the markets in which it participates and/or the customers it caters to and/or the technologies it employs. Top management's views about the company's direction and future product-customer-market-technology focus constitute a **strategic vision** for the company. A clearly articulated strategic vision communicates management's aspirations to stakeholders about "where we are going" and helps steer the energies of company personnel in a common direction. For instance, the vision of Google's co-founders Larry Page and Sergey Brin "to organize the world's information and make it universally accessible and useful"² captured the imagination of Google employees, served as the basis for crafting the company's strategic actions, and aided internal efforts to mobilize and direct the company's resources.

Well-conceived visions are *distinctive* and *specific* to a particular organization; they avoid generic, feel-good statements such as "We will become a global leader and the first choice of customers in every market we choose to serve"³—which could apply to any of hundreds of organizations.⁴ And they are not the product of a committee charged with coming up with an innocuous but well-meaning one-sentence vision that wins consensus approval from various stakeholders. Nicely worded vision statements with no specifics about the company's product-market-customer-technology focus fall well short of what it takes for a vision to measure up.

For a strategic vision to function as a valuable managerial tool, it must provide understanding of what management wants its business to look like and provide managers with a reference point in making strategic decisions. It must say something definitive about how the company's leaders intend to position the company beyond where it is today. Table 2.2 lists some characteristics of effective vision statements.

CORE CONCEPT

A **strategic vision** describes "where we are going"—the course and direction management has charted and the company's future product-customer-market-technology focus.

A surprising number of the vision statements found on company websites and in annual reports are vague and unrevealing, saying very little about the company’s future product-market-customer-technology focus. Some could apply to most any company in any industry. Many read like a public relations statement—lofty words that someone came up with because it is fashionable for companies to have an official vision statement.⁵ Table 2.3 provides a list of the most common shortcomings in company vision statements. Like any tool, vision statements can be used properly or improperly, either clearly conveying a company’s strategic course or not. Concepts & Connections 2.1 provides a critique of the strategic visions of several prominent companies.

TABLE 2.2
Characteristics of Effectively Worded Vision Statements
Graphic —Paints a picture of the kind of company that management is trying to create and the market position(s) the company is striving to stake out.
Directional —Is forward-looking; describes the strategic course that management has charted and the kinds of product-market-customer-technology changes that will help the company prepare for the future.
Focused —Is specific enough to provide managers with guidance in making decisions and allocating resources.
Flexible —Is not so focused that it makes it difficult for management to adjust to changing circumstances in markets, customer preferences, or technology.
Feasible —Is within the realm of what the company can reasonably expect to achieve.
Desirable —Indicates why the directional path makes good business sense.
Easy to communicate —Is explainable in 5 to 10 minutes and, ideally, can be reduced to a simple, memorable “slogan” (like Henry Ford’s famous vision of “a car in every garage”).
Source: Based partly on John P. Kotter, <i>Leading Change</i> (Harvard Business School Press, 1996).

TABLE 2.3
Common Shortcomings in Company Vision Statements
Vague or incomplete —Short on specifics about where the company is headed or what the company is doing to prepare for the future.
Not forward-looking —Does not indicate whether or how management intends to alter the company’s current product-market-customer-technology focus.
Too broad —So all-inclusive that the company could head in most any direction, pursue most any opportunity, or enter most any business.
Bland or uninspiring —Lacks the power to motivate company personnel or inspire shareholder confidence about the company’s direction.
Not distinctive —Provides no unique company identity; could apply to companies in any of several industries (including rivals operating in the same market arena).
Too reliant on superlatives —Does not say anything specific about the company’s strategic course beyond the pursuit of such distinctions as being a recognized leader, a global or worldwide leader, or the first choice of customers.
Source: Based on information in Hugh Davidson, <i>The Committed Enterprise</i> (Oxford: Butterworth Heinemann, 2002), chap. 2; and Michel Robert, <i>Strategy Pure and Simple II</i> (New York: McGraw-Hill, 1998), chaps. 2, 3, and 6.